

DIVERGENCES

When Price and Momentum Disagree

DOJO GAINS - Mentorship

What is Divergence?

- Divergence = Price and indicator moving in opposite directions
- Shows weakening momentum behind a move
- Early warning sign of potential reversal
- Common indicators: RSI, MACD, Stochastic
- One of the most powerful reversal signals
- Works on all timeframes and markets

Divergence reveals what price hides

Types of Divergence

REGULAR DIVERGENCE

Signals potential REVERSAL

Trend is weakening

HIDDEN DIVERGENCE

Signals potential CONTINUATION

Trend is strong, pullback ending

- Regular = Counter-trend signal (reversal)
- Hidden = With-trend signal (continuation)
- Both are powerful when used correctly

Regular Bullish Divergence

- Price makes LOWER LOW
- Indicator makes HIGHER LOW
- Meaning: Selling pressure is weakening
- Buyers are stepping in despite lower prices
- Signal: Potential bullish reversal coming
- Best at: Key support levels, after extended downtrend

Price: Lower Low | Indicator: Higher Low = BUY SIGNAL

Regular Bearish Divergence

- Price makes HIGHER HIGH
- Indicator makes LOWER HIGH
- Meaning: Buying pressure is weakening
- Sellers are stepping in despite higher prices
- Signal: Potential bearish reversal coming
- Best at: Key resistance levels, after extended uptrend

Price: Higher High | Indicator: Lower High = SELL SIGNAL

Hidden Bullish Divergence

- Price makes HIGHER LOW (uptrend pullback)
- Indicator makes LOWER LOW
- Meaning: Pullback is losing momentum
- Trend is still strong, continuation likely
- Signal: Uptrend will resume
- Best for: Trend continuation entries

Uptrend pullback ending = BUY the dip

Hidden Bearish Divergence

- Price makes LOWER HIGH (downtrend rally)
- Indicator makes HIGHER HIGH
- Meaning: Rally is losing momentum
- Trend is still strong, continuation likely
- Signal: Downtrend will resume
- Best for: Trend continuation entries

Downtrend rally ending = SELL the rip

Best Indicators for

RSI (Relative Strength Index)

Most popular, works on all timeframes, clear signals

MACD

Good for trend strength, histogram divergence is powerful

Stochastic

Fast signals, best for ranging markets

OBV (On-Balance Volume)

Volume-based divergence, shows institutional activity

How to Trade Divergence

- 1. Identify the divergence (price vs indicator)
- 2. Confirm with key level (S/R, FVG, order block)
- 3. Wait for candlestick confirmation
- 4. Enter after confirmation candle closes
- 5. Stop beyond the swing high/low
- 6. Target next key level or liquidity

Divergence + Confluence = High probability

Common Divergence

- Trading divergence alone without confluence
- Entering before confirmation
- Fighting strong trends with divergence
- Using divergence on very low timeframes
- Ignoring the bigger picture (HTF trend)
- Not waiting for the second swing to complete

Divergence is a warning, not a trigger

Key Takeaways

- Regular Divergence = Reversal signal
- Hidden Divergence = Continuation signal
- Bullish: Price LL, Indicator HL (or vice versa)
- Bearish: Price HH, Indicator LH (or vice versa)
- RSI is the most reliable for divergence
- Always combine with key levels for confirmation

Divergence + Level + Confirmation = Trade